Exercise 3

Exercise 3 — Libby's Company, balance sheet from a list of accounts

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Prepare the balance sheet of Libby's Company using the following figures (in euros):

Account	*€*	*Account*	*€*
Short-term (current) loan debts	*15,500*	*Accounts payable*	*1,500*
Long-term loan debts	*3,000*	*Equipment*	*13,000*
Money on its bank account	*3,000*	*Raw materials (purchased this year but not used yet)*	*12,500*
Cash	*500*	*Furniture*	*1,500*
Paid-in capital	*12,000*	*Retained earnings from the year*	*2,000*
Accounts receivable	*3,500*		

Phase 1 — Setup: what has to be done

Every account is already a balance-sheet item: there are no revenues or expenses. The task is pure **classification** into the five blocks of [Slide 18] and a check that the totals agree.

Phase 2 — Frames: classification of every account

Account	**Block**	**Reason**
Equipment	Non-current asset	Long-lived resource [Slide 15]
Furniture	Non-current asset	Long-lived resource [Slide 15]
Raw materials (not used yet)	Current asset (inventory)	Will be used within the year [Slide 14]
Accounts receivable	Current asset	Turned into cash within the year [Slide 14]
Bank account	Current asset (cash)	[Slide 14]
Cash	Current asset (cash)	[Slide 14]
Paid-in capital	Equity: contributed capital	[Slide 17]
Retained earnings from the year	Equity: retained earnings	Earnings not paid as dividends [Slide 13]
Long-term loan debts	Long-term liability	Not paid within the year [Slide 16]
Short-term loan debts	Current liability	Paid within the year [Slide 16]

Account	Block	Reason
Accounts payable	Current liability	Owed to suppliers, short term [Slide 13, Slide 16]

Phase 3 — Derivation

Step 1. Block totals

$$\text{Non-current assets} = 13{,}000 + 1{,}500 = 14{,}500$$

$$\text{Current assets} = 12{,}500 + 3{,}500 + 3{,}000 + 500 = 19{,}500$$

$$\text{Equity} = 12{,}000 + 2{,}000 = 14{,}000$$

$$\text{Long-term liabilities} = 3{,}000, \qquad \text{Current liabilities} = 15{,}500 + 1{,}500 = 17{,}000$$

Step 2. Balance sheet

Assets	€	Liabilities and equity	€
Equipment	13,000	Paid-in capital	12,000
Furniture	1,500	Retained earnings	2,000
Non-current assets	**14,500**	**Equity**	**14,000**
Raw materials	12,500	Long-term loan debts	3,000
Accounts receivable	3,500	**Long-term liabilities**	**3,000**
Bank account	3,000	Short-term loan debts	15,500
Cash	500	Accounts payable	1,500
Current assets	**19,500**	**Current liabilities**	**17,000**
Total assets	**34,000**	**Total liabilities and equity**	**34,000**

Phase 4 — Interpretation and checks

- **Balance:** $14{,}500 + 19{,}500 = 34{,}000 = 14{,}000 + 3{,}000 + 17{,}000$.
- **Financial structure** [Slide 36]: liabilities $L = 3{,}000 + 17{,}000 = 20{,}000$, equity $E = 14{,}000$, $E + L = 34{,}000$:

$$\%E = \frac{14{,}000}{34{,}000} = 41.2\%, \qquad \%L = \frac{20{,}000}{34{,}000} = 58.8\%, \qquad \frac{L}{E} = \frac{20{,}000}{14{,}000} = 1.43$$

The company has more debt than equity, and most of it (17,000 of 20,000) is due within the year: by [Slide 36], a high leverage indicates higher risk to shareholders.

- **Typical mistakes:** retained earnings are equity, not a liability; accounts receivable (owed **to** the company) are an asset, accounts payable (owed **by** the company) a liability.

Check against the official key

OFFICIAL SOLUTION, T3_FINANCIAL STATEMENTS_SOLUTIONS.PDF, P. 4

The balance sheet coincides with the key in every block: current assets 19,500; non-current assets 14,500; current liabilities 17,000; non-current liabilities 3,000; owners' equity 14,000; total 34,000. The key asks only for the balance sheet, so the leverage figures in Phase 4 are an addition based on Slide 36.